



INVESTING • OVERSEAS

SPREADING BETS AROUND THE WORLD

INDIAN INVESTMENT OVERSEAS IS GATHERING MOMENTUM DRIVEN MOSTLY BY TECHNOLOGY AND AI

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INDIAN INVESTORS COULDN'T buy SpaceX shares in the rocket and satellite company's June 2026 IPO; US stock market regulations kept them out.

When the company, owned by Elon Musk, made a spectacular debut on NASDAQ on June 12 after raising \$75 billion in history's biggest share sale at a valuation of \$1.77 trillion, Indian investors flocked to the stock, accounting for as much as 20% volumes on India-based trading platforms.

Investors have valid reasons to look abroad. They range from the absence of Indian companies that stand to benefit from the boom in AI to underperformance of domestic stock markets over the past couple of years and rupee weakness against the dollar.

Essentially, these investors are seeking diversification and distancing themselves from domestic risk.

"Overseas investing helps reduce single-country risk," says Vaibhav Shah, Head of Products, Business

Strategy and International Business at Mirae Asset. "A portfolio invested only in India remains highly dependent on domestic earnings growth, policy environment, currency movement, interest rates and local market cycles."

Sure, Indians investing overseas is not a new trend. But it is gathering momentum as investors snap up shares in companies valued at more than \$1 trillion such as Meta, Nvidia, Microsoft, Amazon, and Tesla.

RBI data shows that in FY26, overseas equity and debt investments under the Liberalised Remittance Scheme (LRS) rose 56% year-on-year to \$2.65 billion. Over the past five years, international equity and debt investments under the LRS have risen 5.6 times. The RBI allows Indians to remit up to \$250,000 via LRS every financial year.

Separately, assets under management (AUM) at domestic fund of funds investing overseas increased 83% to ₹49,430 crore in the year to May 2026. It has risen 111.5% over

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